		The Motion seeks a correction to remove "IRA Resources, Inc." as a creditor from the Amended Judgment, to show that the real party in interest is "CYRUS ALIMADADIAN, Individually and as Holder of IRA RESOURCES INC. FBO CYRUS ALIMADADIAN 35-36721." The Motion shows that such relief is appropriate here, as Cyrus Alimadadian is the real party in interest. Under *C.C.P. § 367*, every action must be prosecuted in the name of the real party in interest, except as otherwise provided by statute. The real party in interest, as to the assets held by IRA Resources, Inc. for Mr. Alimadadian, is Mr. Alimadadian. The Request for Judicial Notice filed as ROA 680 is **GRANTED** under *Ev. Code §452(d)*. Counsel for Mr. Alimadadian is to submit a proposed order in accordance with *C.R.C. 3.1312* which reflects the necessary correction, and to *give notice of this ruling.*
8.	Frank v. Schools First Federal Credit Union 24-1400014	Defendant SchoolsFirst Federal Credit Union's ("Defendant") demurrer to plaintiff Henrik Frank's ("Plaintiff") Complaint is **SUSTAINED** in part and **OVERRULED** in part. The court first notes Defendant failed to produce the required meet and confer declaration pursuant to *Civ. Proc. Code § 430.41*. In the future, if Defendant fails to properly meet and confer and produce the required declaration, the court may continue any hearing on demurrer to a date several weeks after any late meet and confer efforts have been accomplished. A demurrer challenges the defects appearing on the face of the pleading or from other matters properly subject to judicial notice. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318 (*Blank*).) The issue is the sufficiency of the pleading, not the truth of the facts alleged. Thus, no matter how unlikely or improbable, the allegations made must be accepted as true for the purpose of ruling on the demurrer. (*Del E. Webb Corporation v. Structural Materials Co.* (1981) 123 Cal.App.3d 593, 604.) Absent court orders or other items subject to judicial notice, or items attached as exhibits to the complaint, the court may not consider the contents of pleadings or other exhibits when ruling on a demurrer. (*Day v. Sharp* (1975) 50 Cal.3d 904, 914; *Sosinsky v. Grant* (1992) 6 Cal.App.4th 1746, 1749.) "In our examination of the complaint we are guided by the well settled principles governing the testing of its sufficiency by demurrer: A demurrer admits all material and issuable facts properly pleaded. [Citations omitted.] However, it does not admit contentions, deductions or conclusions of fact or law alleged therein. [Citations

omitted.]" (*Daar v. Yellow Cab Co*. (1967) 67 Cal.2d 666, 672.)

Defendant demurs to the second, third, and fourth causes of action ("COA") based on Plaintiff's failure to state sufficient facts. (Civ. Proc. Code § 430.10(e).)

1) COA No. 2 – Breach of Implied Covenant of Good Faith and Fair Dealing

"There is no obligation to deal fairly or in good faith absent an existing contract. [Citation.] If there exists a contractual relationship between the parties. . . the implied covenant is limited to assuring compliance with the express terms of the contract and cannot be extended to create obligations not contemplated in the contract." (*Racine & Laramie, Ltd. v. Dep't of Parks & Recreation* (1992) 11 Cal. App. 4th 1026, 1032.) "If the allegations do not go beyond the statement of a mere contract breach and, relying on the same alleged acts, simply seek the same damages or other relief already claimed in a companion contract cause of action, they may be disregarded as superfluous as no additional claim is actually stated. Thus, absent those limited cases where a breach of a consensual contract term is not claimed or alleged, the only justification for asserting a separate cause of action for breach of the implied covenant is to obtain a tort recovery." (*Careau & Co. v. Sec. Pac. Bus. Credit, Inc*. (1990) 222 Cal. App. 3d 1371, 1395.)

"California courts have determined that the relationship of a bank-commercial borrower does not constitute a special relationship for the purposes of the covenant of good faith and fair dealing." (*Kim v. Sumitomo Bank* (1993) 17 Cal. App. 4th 974, 979.)

Plaintiff alleges Defendant breached its promise of good faith and fair dealing by failing to accept Plaintiff's mortgage payment on 05/03/24 and instead claimed Plaintiff was behind on his loan. (Complaint ¶¶ 89-90.) Plaintiff alleges he incurred substantial injury as the result, including the threat of foreclosure, loss of an opportunity to pursue other foreclosure prevention alternatives, and other damages. (Complaint ¶ 91.) The COA for breach of contract also alleges Defendant refused to accept Plaintiff's mortgage payments and to abide by the terms of the Nov. Mod., threatening Plaintiff with foreclosure (Complaint ¶¶ 74-81.)

The allegations under this COA do not go beyond the statement of a mere contract breach, rely on the same alleged facts as the first COA for breach of contract, and seeks tort damages for his contract-based claims. This COA is therefore superfluous as pled.

The demurrer is **SUSTAINED** with leave to amend as to this COA.

2) COA No. 3 – Negligence

"The elements of a cause of action for negligence are well established. They are '(a) a legal duty to use due care; (b) a breach of such legal duty; [and] (c) the breach as the proximate or legal cause of the resulting injury.' " (*Ladd v. Cty. of San Mateo* (1996) 12 Cal. 4th 913, 917.) "[T]he existence of a duty is a question of law for the court." (*Kentucky Fried Chicken of Cal., Inc. v. Superior Court* (1997) 14 Cal. 4th 814, 819.)

Plaintiff breaks this COA into three different allegations of negligence. The first was regarding the November Modification ("Nov. Mod."), which does not state a downpayment was due and Defendant's refusal to accept Plaintiff's mortgage payments and threatening Plaintiff with foreclosure. (Complaint ¶¶ 108-110.) The second alleged act of negligence/harm was informing Plaintiff that he was behind on his mortgage payments towards the loan and Defendant's negligent accounting and threats to foreclosure on the mortgage. (Complaint ¶¶ 123-124.) Finally, Plaintiff alleges Defendant's negligence towards accepting Plaintiff's mortgage payments per the Nov. Mod. and insistence on collecting a $10,000 downpayment, which caused Plaintiff emotional distress and increased blood pressure. (Complaint ¶¶ 34, 44, 49, 51-52, 59-60, 132, 141, 146, 149, 156-161.)

No where in the Complaint does Plaintiff allege any specific duty, nor any breach of said unspecified duty. The only allegations of breach are the breach of contract and the breach of implied covenant of good faith and fair dealing (which is superfluous to the first COA and properly demurred to).

The relationship between banks or lenders, and their loan customers, is not a fiduciary one. Oaks Management Corp. v. Sup. Ct. (2006) 145 Cal. App. 4th 453, 466; Kim v. Sumitomo Bank (1993) 17 Cal. App. 4th 974, 979; Price v. Wells Fargo Bank (1989) 213 Cal. App. 3d 465, 476. A lender does not have a duty of due care to borrowers under most circumstances. (*Nymark v. Heart Fed. Sav. & Loan Ass'n* (1991) 231 Cal.App.3d 1089, 1100 ("*Nymark*").) The California Supreme Court has found a lender owes no duty of care to a borrower in its processing of a loan modification application. (*Sheen v.*

		Wells Fargo Bank, N.A. (2022) 12 Cal. 5th 905, 929 ("Sheen") [Analyzing *Nymark*.) Absent a duty of due care, there can be no negligence claim. Regarding Defendant's claim the economic loss rule bars the negligence claim, the economic loss rule, "functions to bar claims in negligence for pure economic losses in deference to a contract between litigating parties. …Quite simply, the economic loss rule 'prevent[s] the law of contract and the law of tort from dissolving one into the other'." (*Sheen, supra*, 12 Cal.5th at 923 [citations omitted]). "In general, there is no recovery in tort for negligently inflicted "purely economic losses," meaning financial harm unaccompanied by physical or property damage." (*Id*., at 922.) Plaintiff has adequately pled physical injuries related to health issues and increased blood pressure, as well as (potential) property loss should Defendant foreclose on the property. The economic loss rule does not appear applicable based on the allegations in the Complaint. However, the issue is moot as Plaintiff has not pled a duty or breach of duty to support a negligence COA. The demurrer is **SUSTAINED** with leave to amend as to this COA. **3) COA No. 4 – Violation of Business & Professions Code § 17200** "The California Unfair Competition Law ["UCL"] (*[Bus. & Prof. Code] § 17200 et seq*.) defines '"unfair competition" as "any unlawful, unfair or fraudulent business act or practice and unfair, deceptive, untrue or misleading advertising." ' " (*Graham v. Bank of America, N.A.* (2014) 226 Cal.App.4th 594, 609.) "In contrast to its limited remedies, the unfair competition law's scope is broad. The unfair competition law's scope is broad. Unlike the Unfair Practices Act, it does not proscribe specific practices. Rather, as relevant here, it defines "unfair competition" to include "any unlawful, unfair or fraudulent business act or practice." [Citation.] Its coverage is "sweeping, embracing ' "anything that can properly be called a business practice and that at the same time is forbidden by law." ' " [Citations.] It governs "anti-competitive business practices" as well as injuries to consumers, and has as a major purpose "the preservation of fair business competition." [Citations.] By proscribing "any unlawful" business practice, "*section 17200* 'borrows' violations of other laws and treats them as unlawful practices" that the unfair competition law makes

independently actionable. [Citations.] [¶] However, the law does more than just borrow. The statutory language referring to "*any unlawful, unfair or fraudulent*" practice (italics added) makes clear that a practice may be deemed unfair even if not specifically proscribed by some other law. "Because *Business and Professions Code section 17200* is written in the disjunctive, it establishes three varieties of unfair competition-acts or practices which are unlawful, or unfair, or fraudulent. 'In other words, a practice is prohibited as "unfair" or "deceptive" even if not " unlawful" and vice versa.'" (*Cel-Tech Commc'ns, Inc. v. Los Angeles Cellular Tel. Co*. (1999) 20 Cal. 4th 163, 180.)

"[A] private person has no standing under the UCL unless that person can establish that the injury suffered and the loss of property or money resulted from conduct that fits within one of the categories of "unfair competition" in section 17200." (*Daro v. Superior Ct*. (2007) 151 Cal. App. 4th 1079, 1098.)

Plaintiff alleges Defendant's unfair acts included demanding a $10,000 downpayment (Complaint ¶ 166), deeming Plaintiff's loan in default (Complaint ¶ 167), and refusing Plaintiff's mortgage payments (Complaint ¶ 168). Plaintiff contends he has been damaged in the amount of thousands of dollars in attorney's fees, late fees, and additional costs to the arrears on the loan and default amount to the point he now owes far more than what was owed prior to Defendant's alleged misconduct. (Complaint ¶¶ 41-42, 176.) Plaintiff has also allegedly lost the opportunity to modify the loan, and his home is subject to an imminent recording of a notice of default and subsequent foreclosure and eviction. (Complaint ¶ 177.) He contends he has spent at least $73,000 to protect his property rights.

Defendant contends Plaintiff was already in default on the loan, which occurred before any alleged improper act on the part of Defendant, Plaintiff cannot therefore assert an impending foreclosure was caused by any wrongful act on the part of Defendant, and therefore Plaintiff cannot show any alleged violation had a causal link to Plaintiff's economic injury. (*Jenkins v. JP Morgan Chase Bank, N.A*. (2013) 216 Cal. App. 4th 497, 523.)

The complaint alleges Plaintiff was unable to pay his loan and that Defendant agreed to put the loan into forbearance. Plaintiff and Defendant eventually worked out a plan wherein Plaintiff would make monthly payments of $3,299.87 towards the loan, which Plaintiff alleges he timely did, and which Defendant accepted. Despite Plaintiff allegedly making timely payments under

		the Nov. Mod., which Defendant accepted, Defendant claimed Plaintiff did not make payments, Defendant began to issue late fee charges, and eventually refused to accept the agreed to monthly payments despite Plaintiff timely trying to pay them. Plaintiff has sufficiently pled a causal connection with Defendant's unfair refusal to accept timely agreed to payments from Plaintiff, which resulted in the late fees and additional costs/damages Plaintiff alleges. Defendant citation to *Cel–Tech Commc'ns, Inc. v. Los Angeles Cellular Tele.* (1999) 20 Cal.4th 163, is not applicable here as that case involved an action by a competitor alleging anticompetitive practices, and the court's ruling was limited to that context and not to actions by consumers. (*Id*., at 187 fn. 12.) Instead, *Podolsky v. First Healthcare Corp.* (1996) 50 Cal. App. 4th 632 appears more relevant. "[A] practice is prohibited as 'unfair' or 'deceptive' even if not 'unlawful' and vice versa." (*Podolsky v. First Healthcare Corp*. (1996) 50 Cal. App. 4th 632, 647.) "The independent "unfairness" prong of the UCA is "intentionally broad, thus allowing courts maximum discretion to prohibit new schemes to defraud. [Citation.] The test of whether a business practice is unfair 'involves an examination of [that practice's] impact on its alleged victim, balanced against the reasons, justifications and motives of the alleged wrongdoer. In brief, the court must weigh the utility of the defendant's conduct against the gravity of the harm to the alleged victim .... [Citations.]' ...." [Citation.] An unfair business practice occurs when the practice " 'offends an established public policy or when the practice is immoral, unethical, oppressive, unscrupulous or substantially injurious to consumers.' [Citation.]" If Plaintiff's allegations are true, which the court must take as such on demurrer, Defendant intentionally instituted late fees on full and timely payments, later refused to accept full and timely payments, and threatened foreclosure, despite being contractually obligated to do the opposite, would support the "unfair" prong. Plaintiff has sufficiently pled monetary loss directly caused by Defendant's unfair practice of not accepting full timely contractually agreed to payments and instead charging late fees and making threats to foreclosure on the Property. Plaintiff's allegations are sufficient to support this COA currently. The Demurrer is **OVERRULED** as to this COA.

		Plaintiff is given leave to file an amended complaint within 15-days of written notice of the ruling. *Defendant to give notice.*
9.	Shin v. Semapo Blockchain Institute, Inc. 23-1368524	The unopposed Demurrer by Defendants Semapo Blockchain Institute, Inc. and Kenneth H. An. To the Complaint filed by Plaintiff Keum Sook Shin is **SUSTAINED** with 14 days leave to amend. The role of a demurrer is "to test the legal sufficiency of a complaint." (*Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994, citations omitted.) In ruling on the demurrer, the court "treats the demurrer as admitting all material facts properly pleaded." "If the complaint states a cause of action under any theory, regardless of the title under which the factual basis for relief is stated, that aspect of the complaint is good against a demurrer." (*Quelimane Co., Inc. v. Stewart Title Guar. Co*. (1998) 19 Cal.4th 26, 38.) A demurrer challenges only the legal sufficiency of the affected pleading, not the truth of the factual allegations in the pleading or the pleader's ability to prove those allegations. (*Cundiff v. GTE Cal., Inc*. (2002) 101 Cal.App.4th 1395, 1404-1405.) *Negligent Misrepresentation (2nd cause of action) and Fraud (3rd cause of action)* The elements of a fraud cause of action are: "(a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage. [Citation.]" (*Small v. Fritz Companies, Inc*. (2003) 30 Cal.4th 167, 173, internal quotation marks omitted.) The elements of a negligent misrepresentation cause of action are the same as the ones for fraud except for the requirement of scienter. (*Bains v. Moores* (2009) 172 Cal.App.4th 445, 454.) "Every element of the cause of action for fraud must be alleged in the proper manner and the facts constituting the fraud must be alleged with sufficient specificity to allow defendant to understand fully the nature of the charge made." (*Stansfield v. Starkey* (1990) 220 Cal. App. 3d 59, 73.) This "strict requirement" of pleading "necessitates pleading facts which 'show how, when, where, to whom, and by what means the representations were tendered.'" *Id*. "The requirement of specificity in a fraud action against a corporation requires the plaintiff to